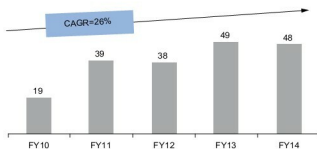
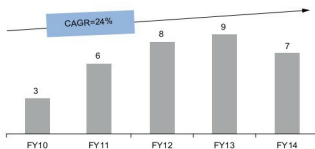


AC imports (₹ billion)



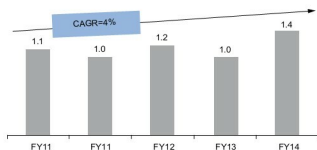
- Air-conditioners continue to be predominantly imported
- Critical components such as compressors are primarily imported from China

Washing machine imports (₹ billion)



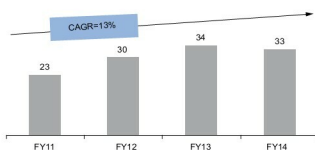
- Since majority of the local production is centred around top-loading semi-automatic units (close to 70%-75% of market by volume), front-loading machines are mainly imported (less than 10% of total market by value)

Refrigerator imports (₹ billion)



- High-end refrigerators are predominantly imported
- Critical components like compressors and painted sheets are primarily imported from China and South East Asia

TV imports (₹ billion)



- There was a marginal decline in TV imports, since the government reduced custom duties on components to zero and banned duty-free imports of flat-panel television sets

Fig. 5: Import trends for select consumer durable products (Source: CMIE, MOC trade statistics, E&Y analysis)

Major manufacturing disabilities

- Inefficient supply chain with respect to lack of local supplier base for components, inefficient logistic infrastructure, low velocity and reduced agility
- High cost of finance
- High cost of infrastructure
- Restriction on import of used capital equipment for R&D and manufacturing
- Unavailability of skilled manpower and technical resources
- Inclusion of electronic goods in Foreign Trade Agreement

recently as part of our monthly industry poll. The analysis is published in October 2016 issue of *Electronics Bazaar* magazine. It shows that the trend in manufacturing partnership in the consumer electronics segment has been growing steadily as original equipment manufacturers

strive to cut costs to maintain their competitive advantage in the face of rapidly-changing market conditions, technological advances and global competition. EMS companies operate as strategic partners to original equipment manufacturers by providing them with a full range of ser-

vices, which include contract design service, prototyping, final system assembly, configuration, order fulfilment and even after-market services including repair.

By using the services of EMS providers, consumer electronics brands can concentrate on their core competencies such as research and product development, brand building, sales and marketing. Outsourcing to EMS providers also enables original equipment manufacturers to gain access to the latest equipment, process knowledge and manufacturing know-how without having to make substantial capital investments as capital risks are converted into variable costs. **EFY**